SCALING UP: Commercial Kitchen to Factory

Penny Bloss on behalf of Seedlab Australia

2025

What will be covered

Time to
Scale up?

From Commercial
Kitchen to Factory

Finding your
Solution

TIME TO SCALE UP?

FOOD FROM THOUGHT

When do you know your business is ready?

Exceeding Goals – are you exceeding your current sales goals consistently? Demand exceeds kitchen capacity.

Reliable Cash Flow – profitability is not the best indicator alone, assess previous revenue consistency and customer loyalty.

Strong Team - committed, reliable, loyal to help build/lead expansion.

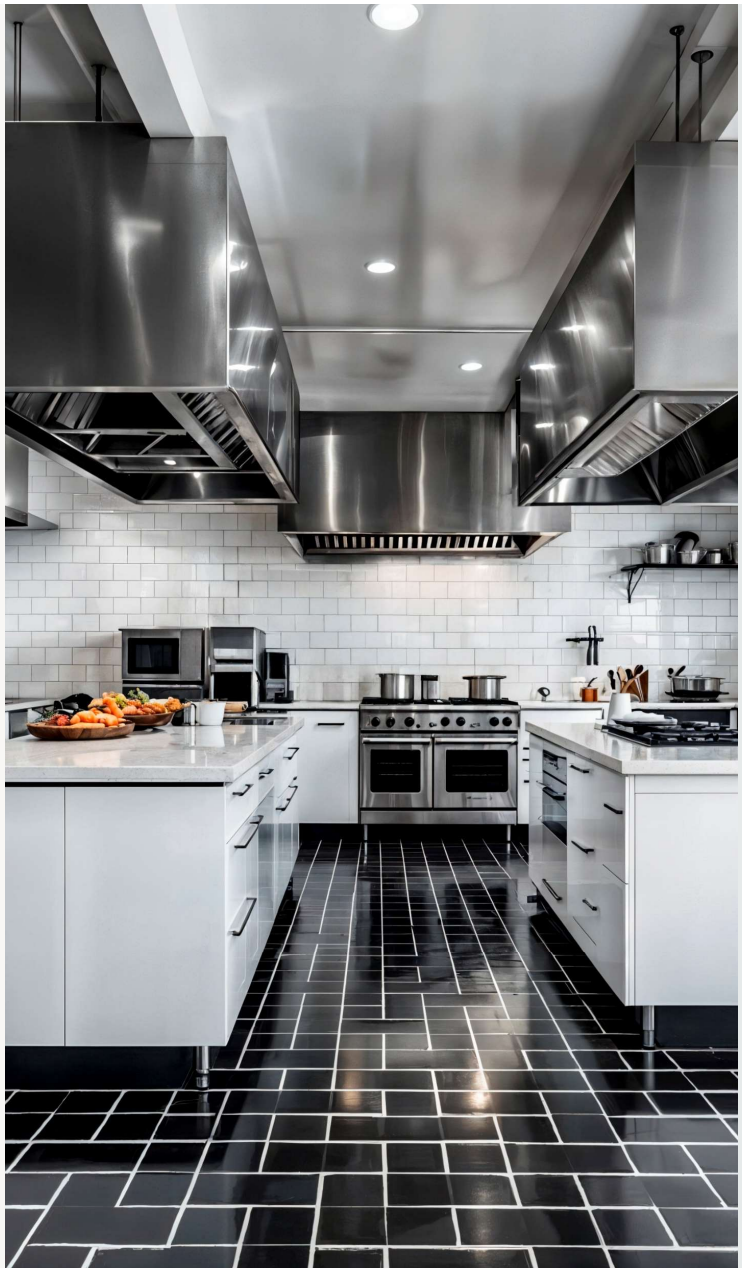
Turning Down Business due to high demand & compliance requirements increasing

Define whether contract manufacturer or own factory acquisition is best path forward.

FROM COMMERCIAL KITCHEN TO FACTORY

FOOD FROM THOUGHT

Commercial Kitchen to Factory



Feasibility & the Stage Gate Process – Own Facility vs Co-Man

Volume Assessment

Process Scale Up & Validation

Safety, Compliance & Sustainability

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Feasibility & the Stage Gate Process

Planning for scale up, as part of "Feasibility Stage" for development and launch of a new product or extension of existing range – Manufacturing Feasibility assessment needs to be completed:

Stage 1 Ideation

KEY ACTIVITIES

- Knowledge Gathering
- Innovation Challenge
- Ideation
- Idea Ranking
- Idea Prioritisation

DECISION GO/NO GO

Stage 2 Feasibility

KEY ACTIVITIES

- Concept Writing
- Prototyping
- Concept Testing
- Manufacturing Feasibility
- Customer Feedback
- Business Case

DECISION GO/NO GO

Stage 3 Product Development

KEY ACTIVITIES

- Product/Pack Development
- Factory Trial
- Sensory Testing & Learning
- Update Business Case
- Customer Review Meeting

DECISION GO/NO GO

Stage 4 Launch

KEY ACTIVITIES

- GS1 & Supply Chain Data Set Up
- Purchase Orders
- Printing Packaging
- Production
- QC Testing
- Deliver into DC

Stage 5 Post Launch review

KEY ACTIVITIES

- Review in market performance vs targets set – action plan
- Capture Learnings from project stages
- Apply learnings to future projects

Feasibility & Stage Gate Process- New Facility

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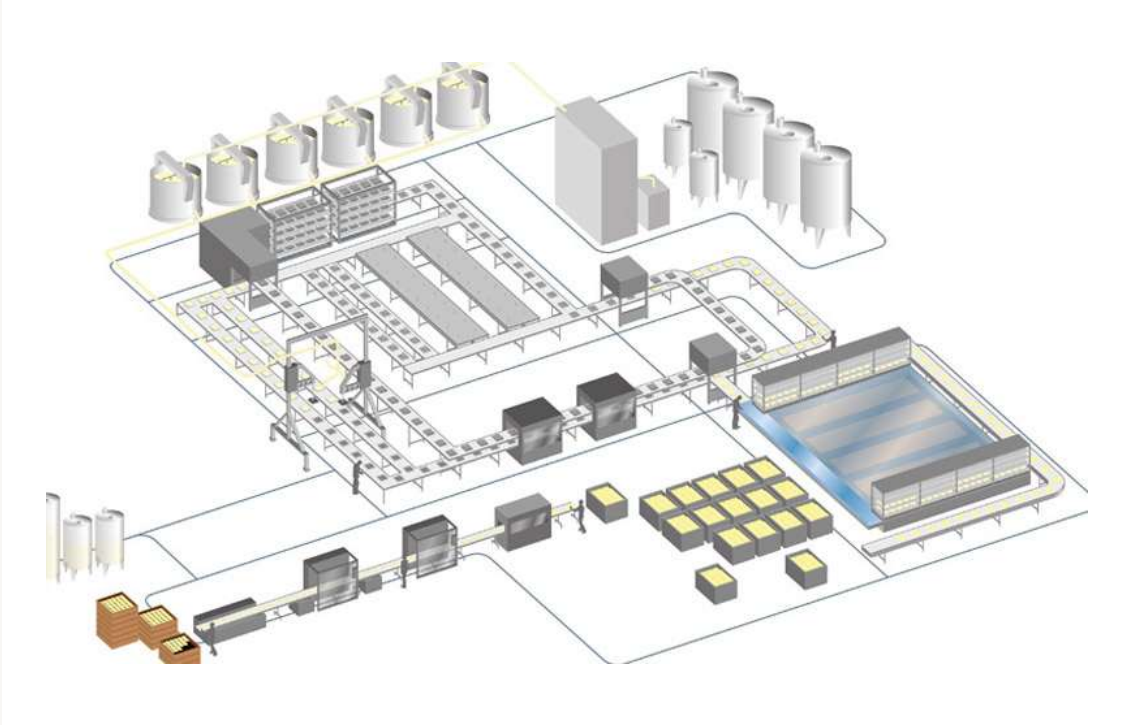
Building a new facility – from concept to completion

Key considerations

- Optimisation of plant and equipment layout
- Authority codes and requirements are met
- Establish service requirements (power, gas waste)
- Consider people movements and amenities
- Streamlining production and process flows
- Designing to SQF, and BRC standards as required
- Minimise excessive conditioned air areas and refrigeration needs where possible
- Maximise available floor space



FOOD STANDARDS Australia New Zealand
Te Mana Kounga Kai – Ahitereiria me Aotearoa

Australia New Zealand Food Standards Code

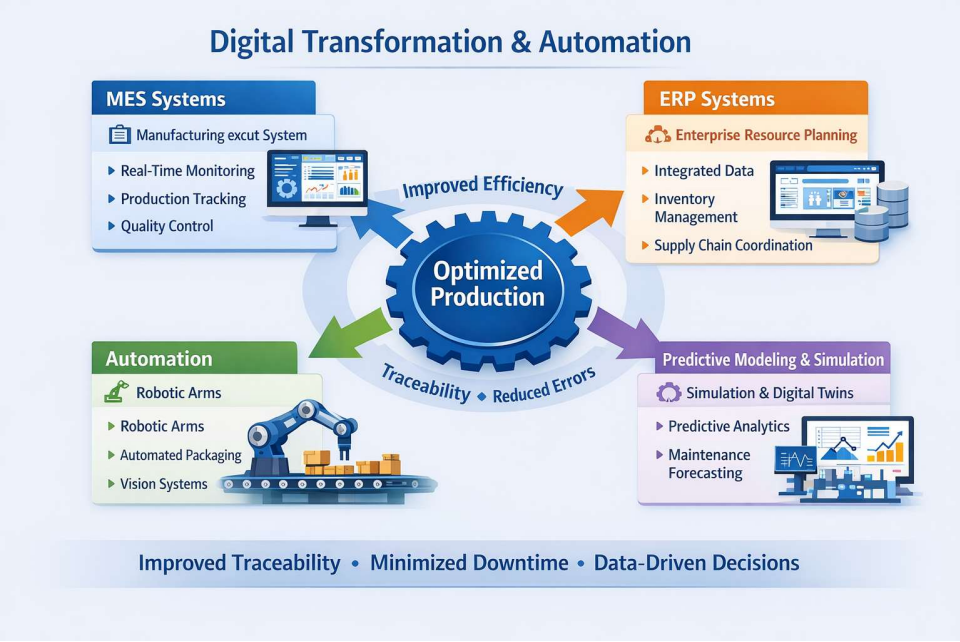
- Standard 3.2.3 - Food Premises and Equipment

Feasibility & Stage Gate Process- New Facility

Digital Transformation & Automation - Digital tools (e.g. MES – Manufacturing Execution Systems, ERP systems) can streamline production, improve traceability, and reduce human error.

Best Practices for Digital Transformation

1. **Start small, scale fast:** Focus on high-impact areas first (e.g., critical machines or processes).
2. **Data quality is key:** Digital tools are only as good as the data they receive.
3. **Cross-functional collaboration:** Involve IT, production, and quality teams early.
4. **Continuous improvement:** Use analytics from MES/ERP to refine processes continuously.



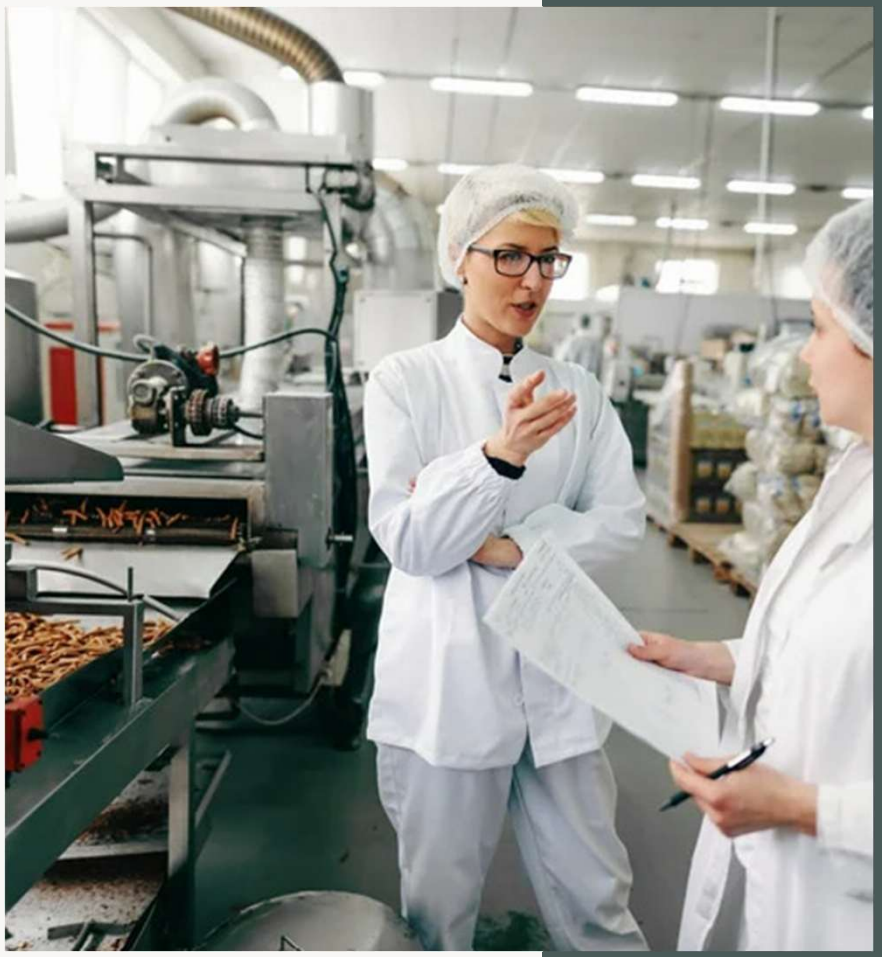
Digital transformation and automation can reduce manual errors, improve traceability, and boost efficiency. When **combined with predictive modelling**, you gain foresight to **optimize production** and **make data-driven decisions**, turning your operations into a smarter, more agile system.

Feasibility & Stage Gate Process- Contract Manufacture

As part of Manufacturing Feasibility Assessment, you should also consider whether contract manufacturing makes sense for you.

It may make sense if:

- Need more capacity or new capability – investment risk is high
- Run out of capacity and have no room for expansion
- Resource is tight
- Timing is tight



Finding the right partner for you is critical.

Prepare a thorough NPD Brief to assess feasibility and define scope.

Contract Manufacturing – the NPD Brief

A quality NPD Brief is critically important

- Robust feasibility assessment to be completed (Product & Pack).
- Clarity upfront around expectations – collaborate & refine
- To gather feedback on your manufacturing/contract manufacturers' capabilities & lead times
- Help you weigh up the Pro's and Cons.

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PRODUCT DEVELOPMENT BRIEF

Insert Brief Date	PROJECT NAME/PRODUCT IDEA	
Product Concept and Objective:		
Packaging Configuration/Type:	**g/ml per individual unit:**	
	Individual Pack Type:	
	Individual Pack Structure (if known):	
	Individual units per retail pack:	
	Retail Pack Type:	
	Retail packs/shipper-case:	
	Shipper/Case Pack Type:	
Desired Individual Shape/Dimensions (if relevant):		
	No. Skus:	
	Flavour Variants:	
Key Ingredient Requirements:	Required:	• Any added flavours, if required, to be declared as natural. • Any added colours, if required, to be declared as natural. • No added preservatives • Responsible Sourcing of Ingredients & appropriate certifications (e.g. Cocoa, Coffee, RSPCO Palm)

*FFT Has NPD Brief Templates available www.foodfromthought.com.au

Contract Manufacturing – Tools & Templates

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Available on Request from Food From Thought

- Site Visit Questionnaire – Capability & Capacity
- Supplier Questionnaire – Allergen Checklist
- Product Development Brief
- Packaging Development Brief
- First Production Checklist

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Supplier Scoping Checklist

Version 1.0
April 2022

Capability-Product type	Process capability	Packaging
☐ Cereal/ Blending	☐ Toasting - continuous or batch ☐ Cereal clustering ☐ Roaster (nuts/oats) ☐ Cereal extrusion- Puffed ☐ Cereal extrusion- flaked ☐ Gluten free capability ☐ Dry blending ☐ In line blending ☐ Batch syrup ☐ Continuous syrup	☐ Boxes - inners/outers – manual or auto ☐ Flat pack or pre-glued cartons ☐ Bag in a box or bag in a bag ☐ Palletisation -manual or auto ☐ Vertical form fill sachets ☐ Quad fill sachets ☐ Pillow packs ☐ Doy pouches ☐ Tubs/Cannisters ☐ Manual pack capabilities

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Supplier Questionnaire

Version 1.0 2022

ALLERGEN INFORMATION						
			DIRECT INGREDIENT		CROSS CONTAMINATION	
ALLERGENS	Name of Ingredient/s containing allergen	COMMENTS	YES	NO	YES	NO
Cereals containing gluten and their products, namely, wheat, rye, barley, oats and spelt and their hybridised strains						
Milk and milk products						
Egg and egg products						
Soybean and soybean products						
Peanuts / peanut products						
Tree nuts and tree nut products						
Sesame seeds / sesame products						
Lupin						
Sulphur Dioxide and added sulphites in concentrations of 10mg/kg or more						
Fish and fish products						
Crustacea and their products						

Volume Assessment

When looking to move from Commercial Kitchen to factory, you really need to test whether volume **is stable, scalable, profitable**, and **operationally compatible** with a factory model. understanding potential volumes & sales opportunity is critical to understand financial viability.

Indicative volumes help you understand

- Production run size expectation (critical when sourcing contract manufacturing partners or looking to purchase equipment/site for scale up).
- Potential cost & MOQ (minimum order quantity) ingredients/packaging.
- To minimize risk you need to:

  Assess

  - Order frequency per customer
  - Variance month-to-month
  - Customer concentration risk

PRODUCT 1	FLAVOUR NAME		0
ACCOUNT	Distribution	MMR: Baseline UPSPW	Avg. UPSPW
Woolworths	90%	3.00	5.0
Coles			
Indies			
Other			

Total Stores	
WW	994
GHPL	840
INDIES	1,000
OTHER	-

MONTHLY SALES PROJECTION TEMPLATE

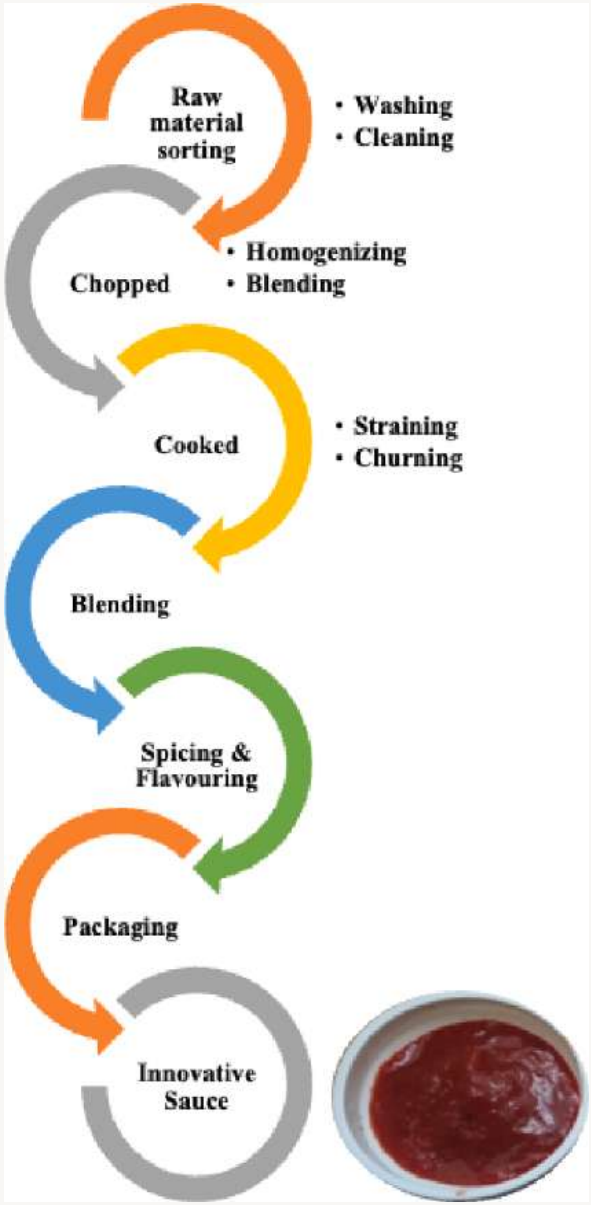
YEAR	NEW BUSINESS			REORDERS			TOTALS		
20XX	GOAL	ACTUAL	VARIANCE	GOAL	ACTUAL	VARIANCE	GOAL	ACTUAL	VARIANCE
JANUARY	199	145	-27.1%	85	105	23.5%	284	250	-12.0%
FEBRUARY	166	238	43.4%	105	108	2.9%	271	346	27.7%
MARCH	204	152	-25.5%	90	71	-21.1%	294	223	-24.1%
APRIL	224	291	29.9%	89	78	-12.4%	313	369	17.9%
MAY	290	158	-45.5%	85	76	-10.6%	375	234	-37.6%
JUNE	138	272	97.1%	80	87	8.8%	218	359	64.7%
JULY	154	255	65.6%	73	74	1.4%	227	329	44.9%
AUGUST	268	207	-22.8%	73	108	47.9%	341	315	-7.6%
SEPTEMBER	294	284	-3.4%	78	86	10.3%	372	370	-0.5%
OCTOBER	249	213	-14.5%	102	72	-29.4%	351	285	-18.8%
NOVEMBER	153	278	81.7%	106	93	-12.3%	259	371	43.2%
DECEMBER	286	148	-48.3%	97	98	1.0%	383	246	-35.8%
	2,625	2,641	0.6%	1,063	1,056	-0.7%	3,688	3,697	0.2%

Process Scale Up & Validation

In addition to the "Dos and Don'ts" when moving from Home Kitchen to Commercial Kitchen, you should also consider the following:

Process Complexity

- Can one piece of equipment be used to scale-up multiple products?
- Consider batch versus continuous process.
- What method of heating is best for your product (e.g., steam, hot water, pressure)?
- Ingredient handling may need to change & additional process steps may need to be considered.
- Additional storage space and pre-staging areas may be needed to feed production
- Flexibility vs limitations of automation (product & pack)



Process Scale Up & Validation

In addition to the "Dos and Don'ts" when moving from Home Kitchen to Commercial Kitchen, you should also consider the following:

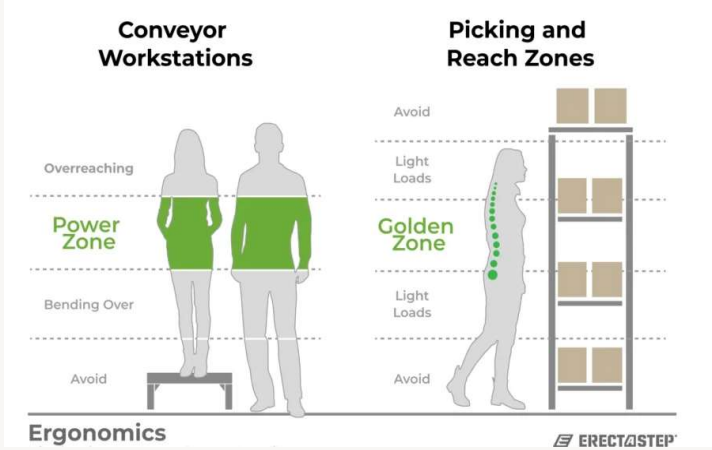
Process Cost & Validation

- Production Trials - multiple
- Cost Validation: Larger quantities may impact efficiencies and overhead costs e.g. utility usage.
- Yields:
  - Product left in the lines running to a filler can also reduce your yield.
  - Consider how your waste product could become a new revenue stream.
  - Minimise changeovers
  - Consider packaging as well as ingredient/product yield losses in your assumptions

Safety & Compliance

DON'T ignore the impacts of scale-up on personal safety.

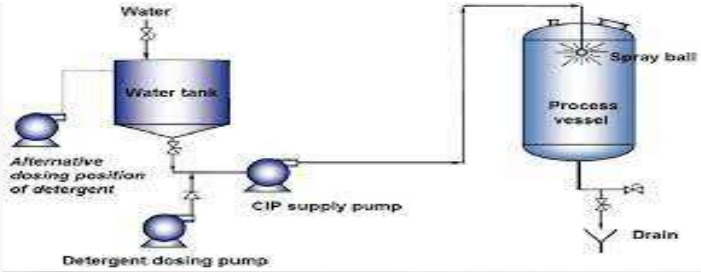
- Lifting and dumping larger raw material quantities into bigger equipment - ergonomically challenging.
- Cleaning this equipment also takes more time and often requires harsh chemicals.
- Personal protective equipment like eye protection, gloves and more may be necessary.
- Are you using industrial equipment that produces potentially harmful noise levels? Consider Ear protection.



Safety & Compliance

DO make compliance with food safety regulations a priority.

- Is your facility built to standards – capable of handling more aggressive cleaning regimes?
- Does your equipment need to be taken apart for cleaning? How long does it take?
- Does an automated clean-in-place (CIP) system make sense?
- Is your air-handling system designed to comply with environmental contamination requirements?
- Have you performed a risk analysis for each ingredient coming into your facility? Allergen risk validation?
- Process validation for food safety by authorized Auditor?



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VITAL® Training Provider

Sustainability & Environmental Impact

DO prioritise Planning, Approvals & Regulatory Compliance

If setting up your own facility, before construction or commissioning, you must address:

Mandatory:

- ✅ **EPA approvals & licences** (state-based: EPA Vic, NSW EPA, etc.)
- ✅ **Development approval** from council (noise, traffic, odour, waste)
- ✅ **Trade waste agreement** with local water authority
- ✅ **Dangerous goods & chemical storage compliance**
- ✅ **Environmental Impact considerations** (air, water, waste, noise)

Design Tip:
Designing *without* environmental controls early = expensive retrofits later.

Sustainability & Environmental Impact

DO look for manufacturing partners with a robust Environmental Management System or ensure you establish for your own facility.

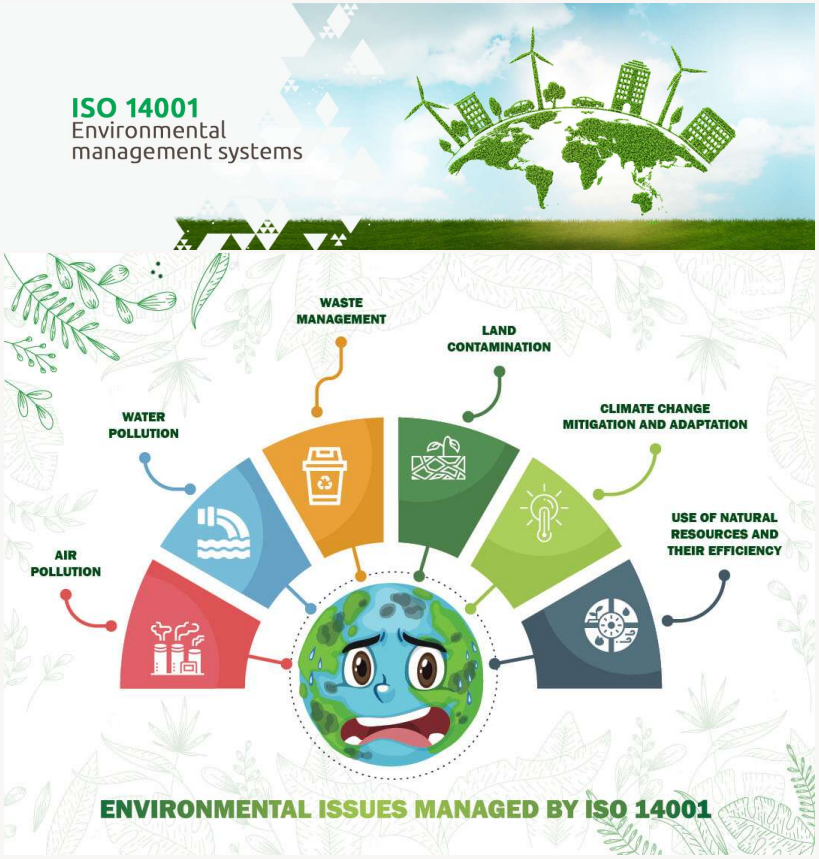
Environmental Management System - Strongly recommended (and often retailer-expected):

ISO 14001 – Environmental Management System

Covers:

- Waste
- Water
- Energy
- Emissions
- Environmental incidents
- Continuous improvement

Most major retailers and export customers expect ISO 14001 within 12–24 months of operation.



Sustainability & Environmental Impact

Minimum Expectations

- Energy monitoring (electricity, gas, refrigeration)
- Refrigeration compliant with current regulations (low-GWP refrigerants)

Best Practice / Future-Proofing

- On-site **solar PV**
- GreenPower or renewable electricity contracts
- Energy-efficient equipment (VSD motors, heat recovery)
- **Scope 1 & 2 emissions baseline** established in Year 1
- Carbon reduction roadmap (even if not net-zero yet)

Australia is moving toward **mandatory climate disclosure** – designing emissions measurement early saves major cost later.

FINDING YOUR SOLUTION

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FINDING YOUR SOLUTION

Factory Fit Outs

Contract Manufacturers

Factory Fit Outs

Support in design and building your new facility from a process, sourcing and validation perspective:

- https://www.rmrprocess.com/
- https://www.totalconstruction.com.au/
- https://www.sepak.com.au/
- https://www.processpartners.com.au/

TOTAL CONSTRUCTION

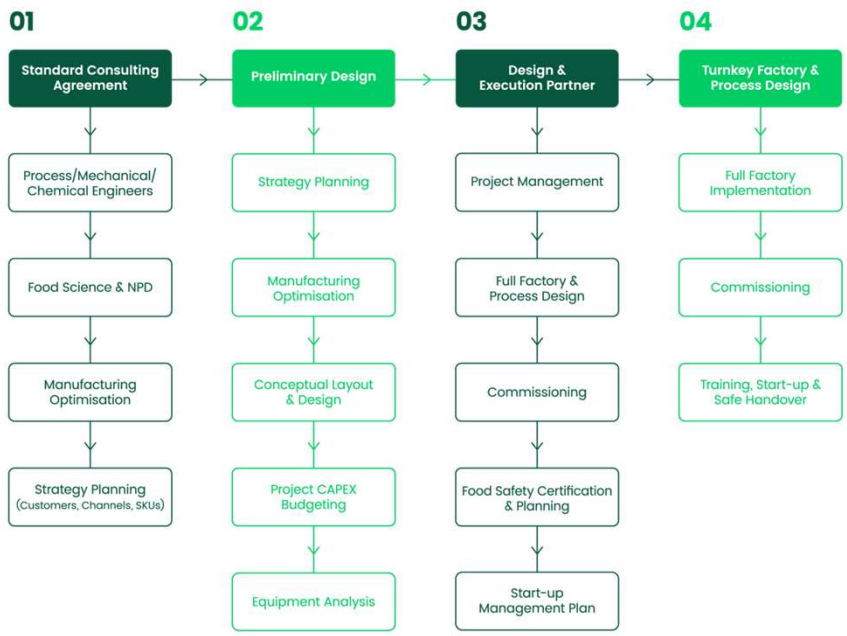
TARGET MARKETS

WHERE WE FOCUS OUR EFFORTS

Our 3 target markets:

1. Aged Care & Refurbs
2. Industrials
3. Engineering Construction Group
   - Food & Beverage
   - Energy & Waste
   - Manufacturing

RMR PROCESS



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Finding Contract Manufacturers

How to find them

- Trade Shows (local and international)
- Ingredient & Packaging Supplier Network
- Trade Magazines e.g. Food & Drink Business & Food Processing Magazine
- Ingredient & Packaging Supplier Network
- State directories:
  - foodandbeverage.hpw.qld.gov.au
  - www.foodsouthaustralia.com.au
- National Directory:
  - Dun & Bradstreet "Food Manufacturing Companies in Australia"

fine food AUSTRALIA

Annual - Ususally late Aug, Early Sept

Rotates between Melb & Sydney

foodpro

Annual - Usually between Jul – Sept

Melbourne MCEC

Natural Products EXPO WEST

Annual – Usually early March

Anaheim, USA

thaifex anuga ASIA

Annual – Usually May

Bangkok, Thailand

PROPAK ASIA

Annual – Usually June, Bangkok, Thailand

anuga

Biennial (every 2 years) - Oct

Cologne, Germany

PLMA INTERNATIONAL COUNCIL

Annual – Usually May

Amsterdam, Netherlands

*FFT can provide contract manufacturer introductions & contacts.

Finding The Right Partner - For You

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Credentials and Certifications

HACCP Certification (minimum standard food safety & risk management) - SGS, BSI or SAI Global Auditors are well recognized.

GFSI Certification - Food Safety & Quality Program recognized Global Food Safety Initiative - SGS & SQF certifying bodies

BRCGS - Global Food Safety Standard - Internationally recognized & becoming world standard for ensuring safety, quality in Food & Neutraceuticals

Dairy - Dairy Food Safety VIC - responsible for regulating VIC dairy industry and ensuring protection for public health & safety, DairySafe in SA.

Audit help & assistance - consultant contacts can be provided on request..

IN SUMMARY....

FOOD FROM THOUGHT

In Summary....

It's **time to consider scale up** when your business is **exceeding goals**, has a **reliable cash flow**, **strong team** and you are **turning down potential business**.

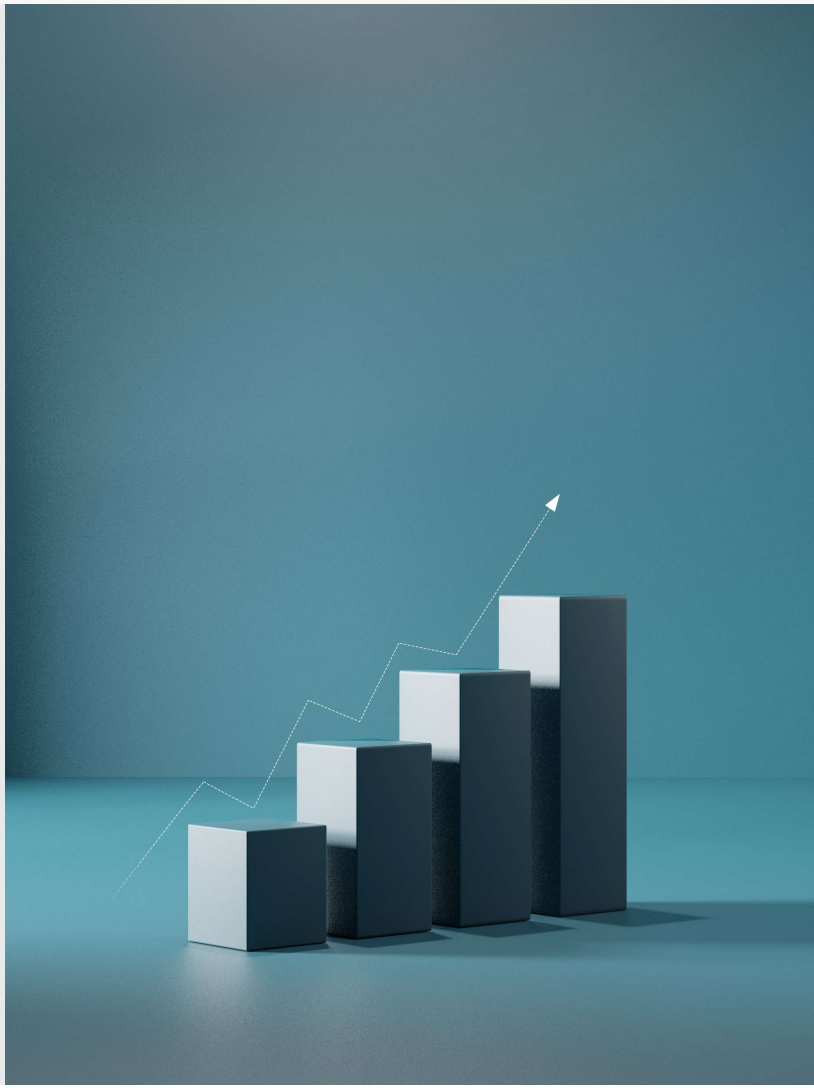
The journey from **Commercial Kitchen** to **Factory** is a complex one, so make sure you do you diligence with a thorough feasibility assessment that looks at risk versus return, volume, lead times, and whether purpose built or contract manufacturing is the right choice for you.

Personal Safety, Building Compliance, Sustainability as well as Environmental & Food Safety needs to be top of mind when looking to set up your own manufacturing site.

If looking into **Contract Manufacturing** make sure you provide a thorough brief that outlines the need clearly – both product, pack and volume assumptions to ensure you can conduct the right level of feasibility.

Do your homework when it comes to finding the right **Contract Manufacturer**, review the links on following slide.

There are also some brilliant resources available when looking to **set up your own manufacturing site**, I have provided two recommendations, but there are sure to be more out there. Reach out to the AIFST network for further suggestions.



REFERENCES, WHERE TO GO FOR MORE INFO...

FSANZ – Food Safety Standard 3.2.3 Food Premises and equipment:

https://www.legislation.gov.au/F2008B00577/latest/text

Support in design and building your new facility from a process, sourcing and validation perspective:

https://www.rmrprocess.com/

https://www.totalconstruction.com.au/

https://www.sepak.com.au/

https://www.processpartners.com.au/

For further support & assistance in improving your internal Innovation Process, you can visit www.foodfromthought.com.au

REFERENCES, WHERE TO GO FOR MORE INFO...

Strategy & Digital Transformation Advisory Service Providers:

Solution Minds Consulting (SMC)

What they do: Independent Australian advisory firm specialising in **ERP, enterprise software selection, digital transformation strategy and implementation**. They don't sell specific software – their advice is vendor-agnostic and outcome-focused. SMC

Jiffi

What they do: Digital transformation consultants for growing Australian businesses. They provide **technology stack consulting, roadmap planning, systems integration and adoption support** – practical for SMEs modernising operations. jiffi.co

Manufacturing & Technology Specialist Advisors:

JAF Solutions

What they do: Australian subject-matter experts specialising in **digital manufacturing, MES systems, supply chain planning and ERP-MES integration**. They understand local manufacturing and food-sector workflows. jafs.com.au+1

Synertec

What they do: Specialist in **Manufacturing Execution Systems (MES)** and system implementation, including ERP and production control systems – useful if your focus is on floor-level digital execution and traceability integration

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THANK YOU